

Both the Federal Arbitration Act and the California Arbitration Act require the existence of a valid Arbitration Agreement, before arbitration can be compelled. (See 9 U.S.C. §2 and C.C.P. §1281.2). The Federal Arbitration Act ("FAA") provides that an arbitration agreement in any "contract evidencing a transaction involving commerce . . . shall be valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for revocation of any contract." (9 U.S.C. § 2.) "The petitioner bears the burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence, and a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense." (*Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 972). Defendant must also show plaintiff's refusal to submit to arbitration, and proof that the arbitration agreement covers the dispute at issue. (See *Mansouri v. Superior Court* (2010) 181 Cal.App.4th 633, 642).

In this matter, Defendant produced two separate arbitration agreements: the Motor Vehicle Order Agreement arbitration agreement ("Order arbitration agreement"), which Plaintiffs signed on 11/4/23 by electronically accepting the terms, and the Retail Installment Sale Contract arbitration agreement, which the Plaintiffs signed on 11/8/23. (See Kim Decl., ¶¶ 4, 13, and exhibits 1 and 2, respectively).

The Order arbitration agreement provides that it applies to any dispute between Plaintiff and Tesla, Inc. This would include the three causes of action for Violation of Song-Beverly Act in Plaintiff's complaint. (See Compl., *generally*).

Plaintiffs do not dispute executing both arbitration agreements, or that they apply to the claims asserted in this action. Rather, Plaintiffs contend that the arbitration provisions are procedurally and substantively unconscionable.

Accordingly, Defendant met its initial burden.

Unconscionability

Procedural and substantive unconscionability "must both be present in order for a court to exercise its discretion to refuse to enforce a contract or clause under the doctrine of unconscionability." (*Armendariz v. Foundation Health Psychcare Servs., Inc.* (2000) 24 Cal.4th 83, 114.) However, they need not be present in the same degree. (*Id.*) A sliding scale approach is used and the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required. (*Id.*) "The party resisting arbitration bears the burden of proving unconscionability." (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC* (2012) 55 Cal.4th 223, 247.)

a. Procedural Unconscionability

"Procedural unconscionability focuses on the elements of oppression and surprise." (*Serafin v. Balco Properties Ltd., LLC* (2015) 235 Cal.App.4th 165, 177.) "Oppression arises from an inequality of bargaining power

which results in no real negotiation and an absence of meaningful choice. Surprise involves the extent to which the terms of the bargain are hidden in a prolix printed form drafted by a party in a superior bargaining position.” (*Id.*) “[A] finding of procedural unconscionability does not mean that a contract will not be enforced, but rather that courts will scrutinize the substantive terms of the contract to ensure they are not manifestly unfair or one-sided.” (*Baltazar v. Forever 21, Inc.* (2016) 62 Cal.4th 1237, 1244.)

Plaintiffs argue that the arbitration agreements are procedurally unconscionable because the RISC arbitration agreement was a contract of adhesion. However, the Order arbitration agreement (which is the primary agreement that Defendant seeks to enforce) contains an opt-out agreement. Accordingly, this argument fails. Furthermore, even with regards to the RISC’s adhesion contract, courts have consistently held that an arbitration agreement’s adhesive nature will not alone invalidate the agreement. Instead, an adhesive contract is one factor a court may consider in deciding degree of procedural unconscionability. (See *Carmona v. Lincoln Millennium Car Wash, Inc.* (2014) 226 Cal.App.4th 74, 84.)

Plaintiffs also argue that the arbitration agreement is procedurally unconscionable because Defendant did not provide a copy of the arbitration rules. The Order arbitration agreement, however, includes a link to adr.org which would direct Plaintiffs to a copy of the American Arbitration Association (AAA) rules. (See *Lane v. Francis Capital Management LLC* (2014) 224 Cal.App.4th 676, 691 [failure to attach AAA rules did not render agreement procedurally unconscionable, as referenced rules were easily accessible on the Internet].) Accordingly, the court does not find procedural unconscionability with regards to the Order arbitration agreement, and only some procedural unconscionability with regards to the RISC arbitration agreement.

b. Substantive Unconscionability

Plaintiffs argue that the agreement is substantively unconscionable because the arbitration provision provides: “The party electing arbitration may choose any of the following arbitration organization and its applicable rules....”. (Opp., 6:10-11). However, it is unclear which arbitration agreement Plaintiffs are referring to, as neither the Order arbitration agreement nor the RISC arbitration agreement contain this language. The Order arbitration agreement specifically provides that arbitration will be administered by the AAA and subject to AAA rules. (Ex. 1 to Kim Decl.).

Plaintiffs cite to *Chavarria v. Ralphs* (9th Cir. 2013) 733 F.3d 916 in support of their argument that where Tesla may elect both to arbitrate in the first place, and choose the forum and the rules, it renders the agreement unconscionable. However, this argument is misplaced. In *Chavarria*, the arbitration agreement had numerous one-sided terms, including the arbitrator selection process itself, which “invariably” resulted in the selected arbitrator being one nominated by the employer: